

for most known banks where I have accounts like HDFC Bank, ICICI Bank, State Bank of India.

4. Guaranteed returns

When you open a fixed deposit account, you are signing up for a fixed return scheme. This means, your financial institution has to provide your fixed returns under any economic conditions during the tenure period. In addition to this, the financial institution is obliged to return your money on the maturity date including any interest as agreed upon.

5. Higher interest than a savings account

If your savings account has extra money, it is wise to invest in fixed deposits, as the rate of return is higher. Some banks even offer a zero balance on your savings account when you start a fixed deposit with them.

You should also check whether your bank has a facility to automatically convert your savings deposits, beyond a threshold value, into fixed deposits and breaking your fixed deposits automatically if there is a need of funds in the savings account. Such flexible accounts are common and easily available on request.

6. Loan availability

You can avail of loans against a fixed deposit in case of financial difficulties. According to RBI regulations, the banks can allow up to 75 to 90% of the fixed deposit as a loan amount. The interest rate you have to pay for taking such loans will be just 2% higher than what you get from the investment.

7. Premature withdrawal

Unlike many other fixed investment schemes, financial institutions allow you to withdraw funds from a fixed deposit before reaching the maturity period. Some banks may charge you a minimum penalty if you withdraw money before the minimum investment period is completed.

8. Varied deposit options